PRIVILEGED & CONFIDENTIAL — SUBJECT TO LEGAL PROFESSIONAL PRIVILEGE

IN THE MATTER OF HARROW PRECISION ENGINEERING LIMITED
v MELBOURNE SEALTECH LIMITED (Claim No. HT-2025-000318)

ADVICE ON MERITS AND QUANTUM

Introduction

1. I am asked to advise Harrow Precision Engineering Limited ("Harrow") on the merits and likely recovery in its claim against Melbourne Sealtech Limited ("MS") arising from the supply of defective Type MS-72 cartridge seals, and in particular on the significance of the exclusion and limitation clauses on which MS relies in its Defence.

Liability

2. In my view Harrow has a strong case on breach. The report of Trentham Tribology Laboratory is clear and well-reasoned: both the antimony impregnation of the carbon face (3.2–5.1% against a required 10–14%) and the face flatness (a substantial proportion exceeding six light bands against a two-band tolerance) are out of specification, and the failure surfaces point to thermal/adhesive distress originating at the face rather than abrasive ingress. That evidence directly answers MS's pleaded case on misapplication and mis-installation.

3. I assess Harrow's prospects of establishing breach of clause 8.1 and of the s.14 implied terms at approximately 75%. The principal battleground will be expert; Harrow should expect MS to serve a report defending its QC records, and the flatness and impregnation measurements should be capable of independent replication.

The limitation and exclusion clauses

4. The real difficulty is clauses 11 and 12 of the Supply Agreement. Clause 11 excludes liability for indirect and consequential loss (including loss of profit), and clause 12 caps aggregate liability at the price paid for the Seals giving rise to the claim — MS pleads that figure as £398,040 (1,860 × £214).

5. Two questions arise. First, whether the loss-of-profit claim (£985,000 on the Pennland Water framework) is "indirect or consequential" within clause 11. On the current authorities, loss of profit that flows directly from defective goods can be a direct loss and so fall outside a clause of this kind; but the point is not free from doubt and depends on the precise wording. Second, whether the cap in clause 12 is reasonable under UCTA 1977 / effective as against a commercial buyer. As between two businesses of comparable bargaining power the cap is likely to be upheld, which would materially reduce recovery.

6. My present view is that Harrow should assume a real risk that the cap will bite. If it does, recovery on the pleaded case could be limited to the region of the contract price plus arguably-direct losses, rather than the full £3,485,000.

Quantum and strategy

7. Subject to the cap, the quantum is well-evidenced: the replacement and rebuild costs (£1,240,000), customer credits (£742,000) and recall costs (£468,000) are all supported by invoices and should be recoverable as direct losses. The £985,000 loss of profit is the most exposed head, both on remoteness and on clause 11.

8. I therefore advise that Harrow’s realistic expected recovery, weighting the cap risk, is in the region of £1.6m–£2.4m, with a best case at or near the full claim if the cap is defeated and a worst case around the contract price if the cap is upheld and the profit claim excluded. Given that spread, this is a strong case to mediate. I would advise attempting an early joint settlement meeting after exchange of expert reports.

NATHANIEL OKONJO

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28 September 2025